Market Analysis





Case Study



Credit on UPI Market in India

Unlocking Instant Credit Access through India's Digital Payment Revolution - A Trillion Dollar Opportunity for Banks

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How Big is the Market?

Credit transactions on UPI reached about ₹10,000 crore (~$1.2 billion) per month as of August 2024.

The "credit line on UPI" facility alone accounts for ₹100-200 crore in monthly

The digital lending market in India is projected to reach $350 billion by 2030, with credit on UPI expected to exceed $1 trillion in transaction value by that year

UPI processed 16.73 billion transactions worth ₹23.25 lakh crore in December 2024, highlighting its dominance in digital payments.

For all of 2024, UPI transaction value surged 35% to nearly ₹247 lakh crore, with a 46% increase in transaction volume to 172 billion.

Key Sub-Segments

- Credit Line on UPI: Short-term, pre-approved loans disbursed directly via UPI apps.
- RuPay Credit Cards on UPI: Linking RuPay credit cards to UPI for seamless payments.
- Buy Now, Pay Later (BNPL) via UPI: Instant, small-ticket loans for retail purchases.
- Merchant Financing: Credit solutions for SMEs and small merchants using UPI.
- Micro-credit Providers: Small-value loans for daily needs.
- Peer-to-Peer Lending on UPI: Direct lending between individuals

Jobs to be Done

- Instant access to short-term credit for daily purchases or emergencies.
- Flexible repayment options tailored to cash flow.
- Seamless, paperless onboarding and digital KYC.
- Transparent interest rates and fees.
- Personalized credit limits based on transaction history and spending patterns

Key Parameters of Value Proposition

Credit Seamless Integration: Frictionless credit access within UPI apps.

Speed: Instant approval and disbursal of credit lines.

Personalization: Tailored offers and limits using AI and transaction data.

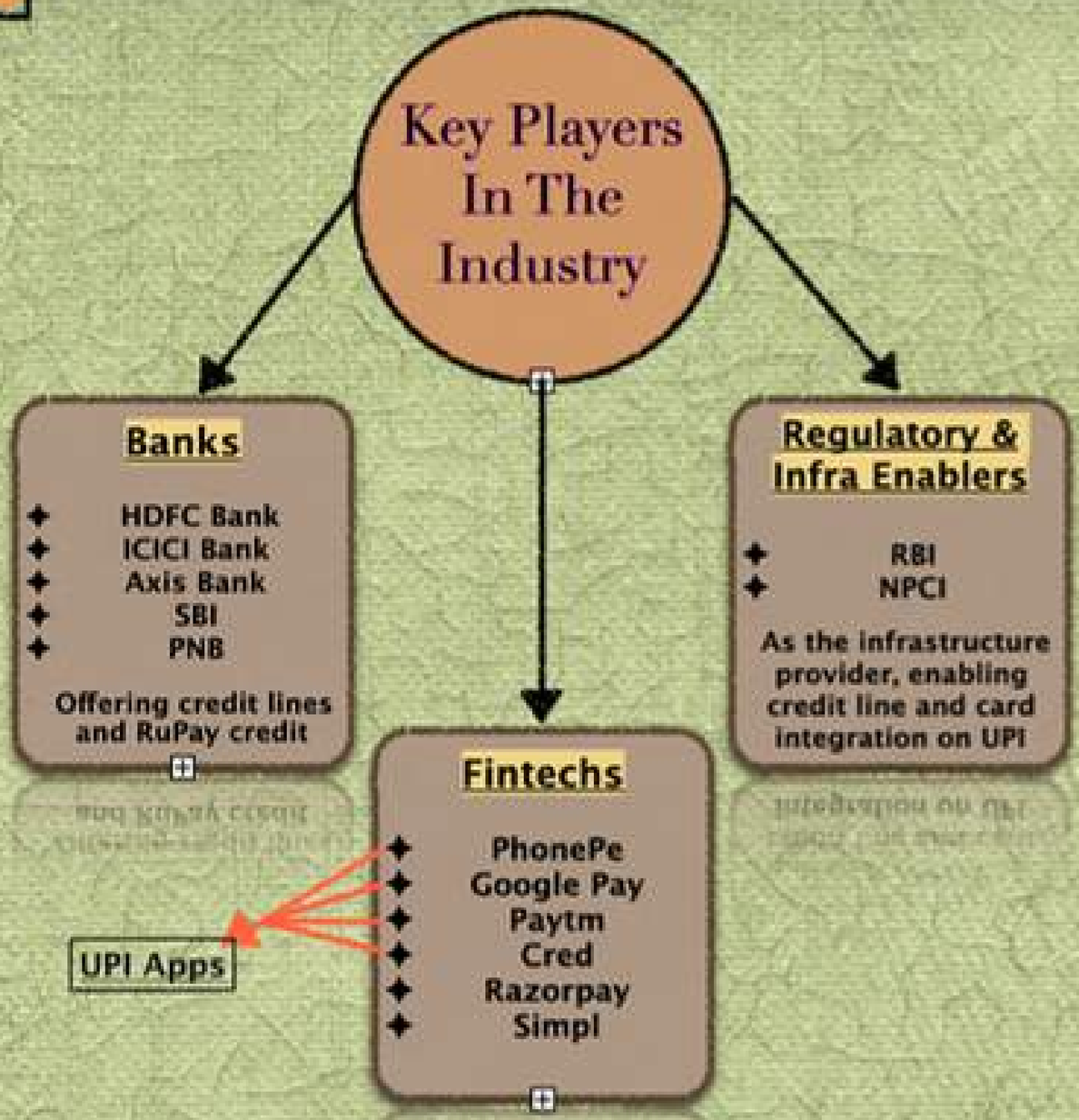
Transparency: Clear terms, no hidden charges.

User Experience: Simple onboarding, customer support, and repayment workflows.

Security: Enhanced security features inherent to UPI transactions.

Customer Support: Strong customer support for addressing user queries.

Affordability: Competitive interest rates compared to traditional credit cards.



Recent Trends: Credit on UPI

UPI on credit cards, combined with the wide acceptance of credit cards,have boosted the growth in the number of transactions and customer base.

Credit Line on UPI Growth: Rapid adoption since RBI's approval in 2023; projected to reach 10% of UPI transaction value by 2030.

BNPL Expansion: Fast-growing for sub-₹5,000 spends, especially among younger users

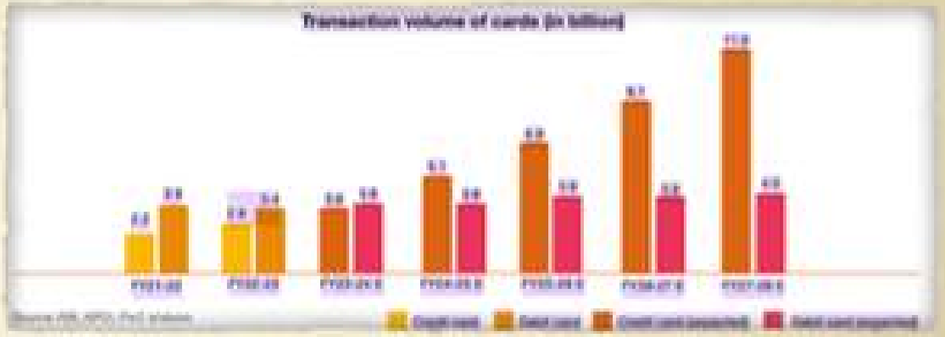
Merchant Adoption: Merchant payments now constitute 63% of UPI transactions, up from 40% in 2022

Rural & Semi-Urban Penetration: 38% of UPI transactions now originate from non-urban areas.

Partnerships: Banks and fintechs are collaborating to roll out new credit products

Regulatory Oversight: RBI is increasing scrutiny to ensure responsible lending practices.

Higher Usage via UPILinked Credit Cards: UPI-enabled credit card users transact 8x more often than traditional cardholders.





UPI Monthly Product Statistics Trended

*Data MTD as of 14th May 25

Month	Value(in cr.)
Jan-25	23,48,037.11
Feb-25	21,96,481.70
March-25	24,77,221.59
April-25	23,94,925.87
May-25	12,20,827.68

Future Outlook

Scale: Credit on UPI is expected to reach over 300 million users by 2030

Source quoted: NASSCOM, BCG and NPCI

Product Innovation: More micro-credit offerings, flexible pay-later models, and context-aware repayment structures—especially for gig workers, students, and small merchants.

Financial Inclusion: Expansion into rural and unbanked populations as smartphone and internet penetration grows in Bharat.

Internationalization: UPI is expanding globally, which could open new credit use-cases.

Regulatory Evolution: Possible introduction of merchant discount rates (MDR) for large merchants to sustain the ecosystem.

Technological Advancements: Integration of AI and machine learning for credit risk assessment, fraud detection and personalized offerings.

Winning Strategies for New Entrants



Localized services and vernacular language support.



Superior user experience and customer support, especially for first-time credit users.



Build Trust with Transparent Terms to win user confidence and avoid churn.



Robust risk management and fraud prevention systems.



Leverage AI and advanced data analytics for Smarter Credit Decisions.



Embed Credit into Everyday Use-Cases (e.g., bill payments, groceries, ride-hailing)

Key Focus Areas for Product Development in Credit Line on UPI

User-Centric Design: Seamless integration with popular UPI apps, intuitive onboarding, and easy repayment options.

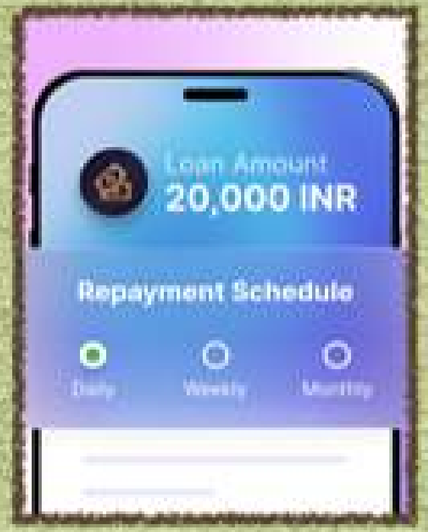
Flexible Repayment: Customizable plans to suit different user needs.

Data-Driven Personalization: Use transaction data to tailor credit limits and offers.

Financial Literacy: In-app education on responsible borrowing.

Compliance: Strong adherence to regulatory guidelines and data privacy norms.

[Onboarding] → [Credit Approval] → [UPI Integration] → [Transaction] → [Repayment] → [Repeat Usage]



UPI
UNIFIED PAYMENTS INTERFACE

Maximize Product Success

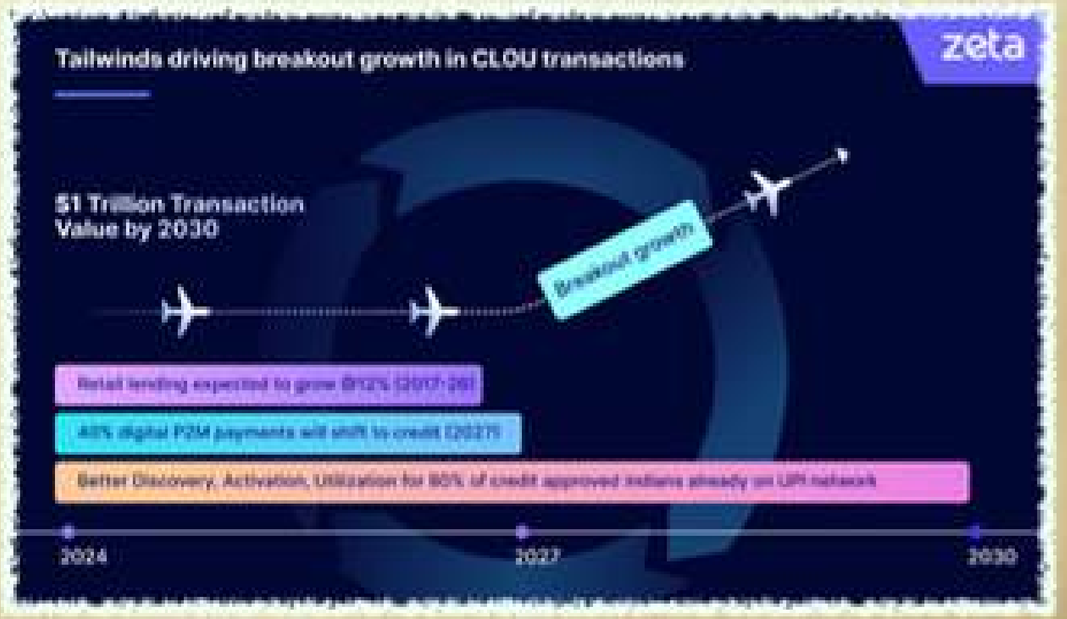
- Acquisition and Onboarding
  - ↳ new users × completion Rate
- Usage and Engagement
  - ↳ Active users × Txn/User
- Credit Performance
  - ↳ Disbursed, Repayment
- User Experience
  - ↳ NPS, Drop-off
- Revenue
  - ↳ interest, fees
- Compliance & Risk
  - ↳ KYC, fraud
- Personilization, Literacy
  - ↳ offers, Engagement

Conclusion

Credit Line on UPI (CLOU) represents a transformative leap in India's digital credit landscape, offering instant, flexible, and accessible credit to a vast user base directly through the UPI ecosystem. Unlike traditional credit cards, CLOU dramatically expands financial inclusion by reaching underserved and new-to-credit populations, thanks to its seamless integration with UPI and lower merchant fees. This innovation not only benefits consumers—by providing frictionless access to credit and convenient repayment options—but also empowers merchants with lower costs and drives higher transaction volumes.

In summary, Credit Line on UPI is set to become a cornerstone of India's digital financial infrastructure—enabling banks to capture a trillion-dollar opportunity, driving financial inclusion, and reimagining the delivery of credit in a way that is faster, more inclusive, and more efficient than ever before.





THANK YOU!